

Court No. - 3

Case :- WRIT - C No. - 66871 of 2011

Petitioner :- M/S Farhana Steels Pvt. Ltd.

Respondent :- The State Of U.P. And Others

Petitioner Counsel :- Vineet Pandey

Respondent Counsel :- C.S.C., Pankaj Kumar Shukla

Hon'ble Amitava Lala, J.

Hon'ble Pradeep Kumar Singh Baghel, J.

Heard Mr. Pradeep Kumar, learned Advocate holding brief of Mr. Vineet Pandey, learned Counsel appearing for the petitioner, Mr. P.K. Sinha, learned Standing Counsel for the State respondents, and Mr. Ram Kumar Sharma, learned Advocate holding brief of Mr. Pankaj Kumar Shukla, learned Counsel appearing for the respondents-Electricity Corporation. We have also heard Mrs. Archana Singh, learned Counsel appearing for the concerned Bank, who has been treated as intervenor in this matter.

The matter is in respect of payment of electricity dues. Earlier on 28th April, 2011 an order was passed by a Division Bench of this Court presided over by one of us (Amitava Lala, J.) in Civil Misc. Writ Petition No. 24313 of 2011 (Farhana Steels Pvt. Ltd. and another Vs. State of U.P. and others) directing the petitioner to pay the entire sum of electricity dues, which has not been paid. Now, the petitioner has made a representation before the authority concerned of the electricity department to pass an order regarding one time settlement. Apparently, the prayer seems to be innocuous but after going through the order dated 28th April, 2011, it does not seem so. The petitioner can not only be said to be defaulter but also seems to be defaulter in not complying with the order of the Court. Secondly, Smt. Archana Singh, learned Counsel appearing for the concerned bank, has intervened in the matter and said that the auction is scheduled to be held tomorrow i.e. on 25th November, 2011 and the entire property is mortgaged/ hypothecated with the bank and the bank, having huge claim in respect of the property in question, has already filed a writ petition, which is likely to come before the Court on Monday i.e. 28th November, 2011. The bank is the first charge holder, therefore, if the property is sold, firstly the entire dues

of the bank will be paid and then the payment in respect of electricity dues will be made. In any event, without going into such controversy today, we make it clear that the matter will appear in the additional cause list on Monday i.e. 28th November, 2011 before this Bench and will be taken up with the writ petition, if any, filed by the bank, if necessary.

Since the auction is going to be held by the concerned District Magistrate tomorrow i.e. on 25th November, 2011 and since no instruction is available with the learned Standing Counsel today, we direct the learned Standing Counsel to communicate the concerned District Magistrate not to hold the auction tomorrow i.e. on 25th November, 2011 but postpone it for a period of one week i.e. next Friday i.e. 02nd December, 2011, so that the matter can be adjudicated upon and reached to the finality in the mean time. Status quo as on date will be maintained.

Let a copy of this order be made available to Mr. P.K. Sinha, learned Standing Counsel, free of cost for the purpose of necessary communication, and to the learned counsel appearing for the parties on payment of usual charges within 24 hours.

Order Date :- 24.11.2011
SKT/-

Court No. - 9

Case :- WRIT - C No. - 66871 of 2011

Petitioner :- M/S Farhana Steels Pvt. Ltd.

Respondent :- The State Of U.P. And Others

Petitioner Counsel :- Vineet Pandey, Archana Singh

Respondent Counsel :- C.S.C., Pankaj Kumar Shukla

Hon'ble Satya Poot Mehrotra, J.

Hon'ble Mrs. Sunita Agarwal, J.

Pursuant to the order dated 24.11.2011 passed by the Division Bench consisting of the Hon'ble Amitava Lala, J. and the Hon'ble Pradeep Kumar Singh Baghel, J., this case has been placed today as an unlisted case in the Additional Cause List.

Perusal of the said order dated 24.11.2011 shows that the aforesaid Division Bench directed that " the matter will appear in the additional cause list on Monday i.e. 28th November, 2011 before this Bench".

Thus, the case was directed to be put up before the aforesaid Bench on 28th November, 2011 i.e. today. The case has thus been incorrectly placed before this Bench.

Let it be placed before the aforesaid Bench, if possible, on 30th November, 2011.

Order Date :- 28.11.2011

Atul kr. sri.

Court No. - 3

Case :- WRIT - C No. - 66871 of 2011

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Respondent :- The State Of U.P. And Others

Petitioner Counsel :- Vineet Pandey, Archana Singh

Respondent Counsel :- C.S.C., Pankaj Kumar Shukla

Hon'ble Amitava Lala, J.

Hon'ble Pradeep Kumar Singh Baghel, J.

Let it appear along with the Writ Petition No. 68054 of 2011 on 9.12.2011 in the additional cause list as for orders.

Interim order granted earlier will continue till the next date of listing.

Order Date :- 1.12.2011

Gss

Court No. - 3

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Petitioner :- M/S Farhana Steels Pvt. Ltd.

Respondent :- The State Of U.P. And Others

Petitioner Counsel :- Vineet Pandey, Archana Singh

Respondent Counsel :- C.S.C., Pankaj Kumar Shukla

Hon'ble Amitava Lala, J.

Hon'ble Pradeep Kumar Singh Baghel, J.

Let it appear on Friday i.e. 16.12.2011.

Interim order, granted earlier, is extended till the next date of listing.

Order Date :- 9.12.2011

Sandeep

Court No. - 3

Case :- WRIT - C No. - 66871 of 2011

Petitioner :- M/S Farhana Steels Pvt. Ltd.

Respondent :- The State Of U.P. And Others

Petitioner Counsel :- Vineet Pandey, Archana Singh

Respondent Counsel :- C.S.C., Pankaj Kumar Shukla

Hon'ble Amitava Lala, J.

Hon'ble Pradeep Kumar Singh Baghel, J.

None appeared to press the petition on behalf of the petitioner-company in spite of repeated calls. Heard Mrs. Archana Singh, learned counsel appearing for the Bank of Baroda, petitioner in Writ-C No. 68054 of 2011 (Bank of Baroda Vs. State of U.P. & Others), learned Standing Counsel appearing for the State-respondent nos. 1 to 4 and Mr. Pankaj Shukla, learned counsel appearing for the respondents-Power Corporation.

The dispute is very interesting one. A sale is going to be held at the instance of the State-authority for the purpose of payment of electricity dues by the petitioner-company to the electrical authority. It appears to this Court that the electrical department is a statutory authority and its claim over the property seems to be of first charge before making a sale as per the terms and conditions of the Electricity Supply Code, 2005. During the pendency of such process of sale, Bank of Baroda intervened in the matter by filing separate writ petition, being Writ-C No. 68054 of 2011 (Bank of Baroda Vs. State of U.P. & Others) and also intervening in the present writ petition filed on the part of the petitioner-company. Therefore, both the matters are clubbed together and placed for hearing before us.

From the argument advanced by the Bank before us, it appears that the property is mortgaged/hypothecated to them. Own case of the electrical authority is that the Bank is the owner of the property in view of mortgage/hypothecation of the property. Therefore, it is admitted position that the sale cannot be conducted without the intervention of the Bank, which includes price fixation. On the other hand, the company is still running and not wound up.

Against this background, we are of the view that let the sale be conducted by the authority with the participation of the Bank. Out of the sale proceeds firstly electricity dues will be paid to the electrical authority to meet its claim exclusively and forever. Thereafter, the remaining amount will be paid to the bank to meet its claim in full or in part. If the Bank is not fully satisfied with

regard to its own claim then it is open to the Bank to proceed to recover the balance amount in accordance with law .

With the above observations and order, both the writ petitions are treated to be disposed of without imposing any cost.

Order Date :- 16.12.2011

pks